

M/S TCMC Industries Pvt. Ltd. and Another v. Paschimanchal Vidyut Vitran Nigam Limited and 2 Others

High Court of Judicature at Allahabad · Division Bench · 26 July 2018 · WRIT - C No. 25325 of 2018 · By order dated 26.07.2018 the Division Bench disposed of the writ petition by directing respondent no. 4 (Superintending Engineer, Electricity Urban Distribution Division, Muzaffarnagar) to decide the petitioner's request for release of a new 50 KVA industrial connection by a reasoned and speaking order, keeping in view the Supreme Court decisions relied on by the petitioner (NESCO v. Raghunath Paper Mills; Chandu Khamaru; AI Champdany Industries; Southern Power Distribution Co. of Telangana v. Gopal Agarwal), within 30 days of production of a certified copy of the order and the writ petition. The petitioner, an auction-purchaser (through the Company Court in liquidation proceedings) of the land of M/s Arihant Steels & Alloys Ltd, had been orally refused the connection on the ground of Rs.178.97 lakhs dues of the erstwhile company, without any formal order, though the Official Liquidator had certified (letter dated 19.04.2018) that all liabilities were settled with the High Court's approval and no dues could be claimed from the auction-purchaser. The petitioner undertook to withdraw a parallel Consumer Grievance Redressal Forum application within a week.

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HEADNOTE

The petitioner, M/s TCMC Industries Pvt. Ltd., was the auction-purchaser (through the Company Court in liquidation proceedings) of the land of M/s Arihant Steels & Alloys Ltd, which had gone into liquidation under Section 20(1) of the Sick Industrial Companies (Special Provisions) Act, 1985 owing to debts to Canara Bank; the Official Liquidator had auctioned the land, the sale (18.08.2010) was confirmed and a sale deed executed in the petitioner's favour on 02.06.2011 with vacant possession. Intending to set up a Ceramic Tiles plant, the petitioner applied on 09.04.2018 for a new 50 KVA industrial connection, which the Executive Engineer orally refused - without any written order - on the ground that Rs.178.97 lakhs was outstanding on the premises against M/s Arihant Steels. The Official Liquidator, by letter dated 19.04.2018, certified that after winding up all liabilities and assets had been settled with the High Court's approval (Canara Bank having been paid its dividend of Rs.1,90,29,698 in full under the order dated 06.02.2014) and that the Executive Engineer could not claim any dues from the auction-purchaser. The petitioner invoked Section 43(1) of the Electricity Act, 2003 (duty to supply within one month), Sections 529, 529-A and 530 of the Companies Act, 1956, an MD, UPPCL circular dated 18.01.2018, and a line of Supreme Court authority (NESCO v. Raghunath Paper Mills; Chandu Khamaru; AI Champdany Industries; Southern Power Distribution Co. of Telangana v. Gopal Agarwal) that a connection cannot be denied to an auction-purchaser in liquidation, contending the refusal was illegal and violative of Articles 14 and 19(1)(g). The respondents pointed out that the petitioner had also approached the Consumer Grievance Redressal Forum; the petitioner undertook to withdraw that application within a week. The Division Bench (Shashi Kant Gupta and Ajit Kumar, JJ.) did not decide the entitlement on merits but disposed of the writ by directing respondent no. 4, the Superintending Engineer, to decide the connection request by a reasoned and speaking order - keeping in view the Supreme Court decisions relied on - within 30 days.

FACTUAL SUMMARY

M/s Arihant Steels & Alloys Ltd had gone into liquidation under Section 20(1) of the Sick Industrial Companies (Special Provisions) Act, 1985 owing to large debts to Canara Bank; on a report of the Registrar of the Board (letter dated 24.12.2002), the High Court by order dated 01.12.2003 directed the Official Liquidator to liquidate the company. The Official Liquidator took charge of the assets and auctioned the land; the bid of M/s Chaudhary Industrial Project Ltd was approved, the auction sale of 18.08.2010 was confirmed in favour of the purchaser Sri Satendra Singh (order dated 01.09.2010), and, on M/s Chaudhary Industrial's application, the sale deed was confirmed in favour of the petitioner (order dated 18.05.2011) and executed on 02.06.2011, the petitioner-vendee receiving vacant and peaceful possession. Intending to set up a Ceramic Tiles Manufacturing Plant, the petitioner (M/s TCMC Industries Pvt. Ltd.) applied on 09.04.2018 to respondent no. 2 for a new industrial load of 50 KVA; the Executive Engineer wrote to the Superintending Engineer on 10.04.2018 seeking a direction for release. On 28.04.2018 the Executive Engineer orally refused the connection - without passing any written order - citing dues of Rs.178.97 lakhs on the premises against M/s Arihant Steels. The petitioner obtained the Official Liquidator's letter dated 19.04.2018 certifying that all liabilities and assets had been settled with the High Court's approval and that no dues could be claimed from the auction-purchaser (Canara Bank having been paid its dividend of Rs.1,90,29,698 in full per the order dated 06.02.2014); on 01.05.2018 the petitioner again sought release, which the Executive Engineer again denied without a formal order. The petitioner filed WRIT-C No. 25325 of 2018 for a mandamus to release the 50 KVA connection and to prepare and serve an estimate under Clause 4.6 of the U.P. Electricity Supply Code, 2005, relying on Section 43(1) of the Electricity Act,

2003, Sections 529/529-A/530 of the Companies Act, 1956, an MD, UPPCL circular dated 18.01.2018, and several Supreme Court decisions. The respondents noted a parallel Consumer Grievance Redressal Forum application, which the petitioner undertook to withdraw.

REUSABLE CONSTRUCTIONS

1. A licensee should not refuse a new electricity connection orally or informally; where an application for supply is declined, the competent authority must dispose of it by a reasoned and speaking order. **order of 26.7.2018**
2. Where a purchaser acquires premises through a Company Court auction in liquidation proceedings, and the Official Liquidator certifies that all the erstwhile company's liabilities and assets have been settled with the Court's approval, the request for a new electricity connection must be decided by the competent authority by a reasoned order keeping in view the Supreme Court authority that a connection cannot be denied to such an auction-purchaser for the erstwhile company's electricity dues. **order of 26.7.2018**
3. Section 43(1) of the Electricity Act, 2003 obliges the licensee to supply electricity to an owner or occupier within one month of the application; the priority of claims in the winding up of the erstwhile owner is governed by Sections 529, 529-A and 530 of the Companies Act, 1956. **order of 26.7.2018**

HOLDING-UNITS

INTERPLAY · EA2003::43

RATIO

Connection request of a Company-Court liquidation auction-purchaser, refused for the erstwhile company's dues, remitted to the Superintending Engineer for a reasoned/speaking order keeping in view the Supreme Court authorities

QUESTION

How is the request of an auction-purchaser (who acquired the premises through a Company Court in liquidation proceedings) for a new electricity connection - refused informally on the ground of the erstwhile company's outstanding dues - to be dealt with, given Section 43(1) of the Electricity Act, 2003, the settlement of the company's liabilities by the Official Liquidator, and the Supreme Court authority that a connection cannot be denied to such an auction-purchaser?

HOLDING

The Court did not itself grant the connection but directed the competent authority to decide the request properly. Noting that the premises had been sold by the Company Court in liquidation proceedings, that the Executive Engineer had orally refused the connection (on the ground of Rs.178.97 lakhs dues of M/s Arihant Steels) without passing any formal order, that the Official Liquidator had certified all liabilities settled with the Court's approval so that no dues could be claimed from the auction-purchaser, and that the petitioner relied on Section 43(1) of the Electricity Act, 2003 and a line of Supreme Court authority that a connection cannot be denied to an auction-purchaser in liquidation, the Court directed respondent no. 4 (Superintending Engineer) to decide the request for release of the 50 KVA industrial connection by a reasoned and speaking order, keeping in view those Supreme Court decisions, within 30 days; the petitioner undertook to withdraw its parallel Consumer Grievance Redressal Forum application. **order of 26.7.2018**

EVIDENCE “Section 43(1) of the Electricity Act, 2003 provides that the licensee is bound to supply the electricity to the applicant of the owner or occupier of any premises within one month of the receipt of the application requiring such supply.” **order of 26.7.2018**

EVIDENCE “cannot claim any dues or recovery from you being auction purchaser of the property in question because their claim is already decided by this office and Hon'ble High Court has passed an order to distribute the dividend of Rs.1,90,29,698/- to the Canara Bank” **order of 26.7.2018**

EVIDENCE “Superintending Engineer of Electricity Urban Distribution Division, Muzaffarnagar is directed to decide the matter with regard to release of electricity connection for industrial load of 50 KVA to the petitioner by a reasoned and speaking order keeping in view the various decisions of the Apex Court as referred to hereinabove” **order of 26.7.2018**

FLAG Single order dated 26.07.2018 with no printed page numbers and no numbered paragraphs; pins reference the order date. The Court did not decide the entitlement on merits but remitted it to the Superintending Engineer to decide by a reasoned/speaking order keeping in view the cited Supreme Court authorities (see not_decided).

PRINCIPLE TAGS

connection-not-to-be-denied-to-liquidation-auction-purchaser-for-predecessor-dues

The petitioner relied on NESCO v.

Raghunath Paper Mills and other Supreme Court decisions that a connection cannot be denied to an auction-purchaser in Company Court liquidation proceedings for the erstwhile company's dues; the Superintending Engineer was directed to decide keeping these in view. Lead authorities: *Special Officer, Commerce, North Eastern Electricity Supply Company of Orissa (NESCO) v. Raghunath Paper Mills Pvt. Ltd.* [SCJ-127]. **order of 26.7.2018**

section-43-duty-to-supply-within-one-month

The petitioner invoked Section 43(1) of the Electricity Act, 2003, under which the licensee is bound to supply an owner or occupier within one month of the application. **order of 26.7.2018**

connection-refusal-requires-reasoned-speaking-order-no-informal-refusal

The Executive Engineer twice refused the connection orally without any written order; the Court directed the Superintending Engineer to decide the request by a reasoned and speaking order within 30 days. **order of 26.7.2018**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PETITIONER (AUCTION-PURCHASER IN LIQUIDATION) IS ENTITLED TO THE 50 KVA CONNECTION NOTWITHSTANDING THE ERSTWHILE COMPANY'S DUES OF RS.178.97 LAKHS

Not decided on merits; remitted to the Superintending Engineer to decide by a reasoned and speaking order within 30 days, keeping in view the Supreme Court decisions relied on by the petitioner. **order of 26.7.2018**

NOT DECIDED — THE PETITIONER'S PARALLEL PROCEEDING BEFORE THE CONSUMER GRIEVANCE REDRESSAL FORUM

The petitioner undertook to withdraw the CGRF application within a week; the Court did not adjudicate it. **order of 26.7.2018**

RELATED CASES — SEE ALSO

SCJ-037 — K.C. Ninan - the Supreme Court's leading decision on Section 43 and whether a transferee/auction-purchaser is liable for the previous owner's electricity dues, the very question the Superintending Engineer was directed to decide here.

SCJ-2225 — M/s Gill Polymers - pre-CIRP electricity dues of the erstwhile owner stand extinguished on approval of a resolution plan under Section 31 IBC, cognate to the settlement of the company's dues in liquidation relied on here.

SCJ-681 — Trimmurti Buildwell - where a factory is bought in an auction sale free from encumbrances, the purchaser is not saddled with the predecessor's electricity dues, supporting the petitioner's position.

SCJ-005 — Amir Ahmad - contrast: a SARFAESI auction-purchaser on an 'as-is-where-is' basis was held bound by Clause 4.3(f) to clear the predecessor's dues - the countervailing line the Superintending Engineer must weigh.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Special Officer, Commerce, North Eastern Electricity Supply Company of Orissa (NESCO) v. Raghunath Paper Mills Pvt. Ltd.</i> 2012 (13) SCC 479 [SCJ-127] Supreme Court of India	A connection cannot be denied to a purchaser in auction proceedings by the Official Liquidator pursuant to the direction given by the Liquidator Court for the erstwhile company's electricity dues.	Relied on by the petitioner; the Superintending Engineer was directed to decide the request keeping it in view. order of 26.7.2018	Petitioner	Relied on
<i>Chandu Khamaru v. Smt. Nayan Malik and others</i> 2011 (6) AWC 5441 (SC) Supreme Court of India	The licensee cannot refuse to supply electricity and is duty bound to supply the connection within the time fixed by the legislation.	Relied on by the petitioner. order of 26.7.2018	Petitioner	Relied on
<i>AI Champdany Industries Limited v. Official Liquidator and another</i> 2009 (4) SCC 486 Supreme Court of India	Cited on the rights of an auction-purchaser of a company's assets sold in liquidation.	Relied on by the petitioner. order of 26.7.2018	Petitioner	Relied on
<i>Southern Power Distribution Company of Telengana Ltd v. Gopal Agarwal and others</i> Civil Appeal No. 1918 of 2016 (decided)	A connection cannot be denied to an auction-purchaser for the erstwhile owner's electricity dues.	Relied on by the petitioner. order of 26.7.2018	Petitioner	Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
27.07.2017) Supreme Court of India				
<i>Letter dated 19.04.2018 of the Official Liquidator, High Court of Judicature at Allahabad</i> Office of the Official Liquidator, High Court of Judicature at Allahabad	Certified that after winding up (01.12.2003) all liabilities and assets of M/s Arihant Steels had been settled with the High Court's approval, and that the Executive Engineer cannot claim any dues from the auction-purchaser, Canara Bank having been paid its dividend of Rs.1,90,29,698 in full per the High Court order dated 06.02.2014.	Relied on by the petitioner to show the erstwhile company's dues stood settled. order of 26.7.2018	Petitioner	Referred
<i>Circular/letter dated 18.01.2018 of the Managing Director, U.P. Power Corporation Ltd</i> U.P. Power Corporation Ltd	Where a property is purchased pursuant to liquidation, the previous owner's dues are to be recovered from the earlier owner and a new connection can be released in favour of the subsequent purchaser.	Relied on by the petitioner. order of 26.7.2018	Petitioner	Referred

SCJ-2860 · M/S TCMC Industries Pvt. Ltd. and Another v. Paschimanchal Vidyut Vitran Nigam Limited and 2 Others · · Supply Code Jurisprudence
A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.